

4-6 Why Is the Accrual Basis of Accounting Required by GAAP?

The accrual basis of accounting was used in this chapter and in [Chapters 1](#), [2](#), and [3](#) to record the transactions and prepare the financial statements for NetSolutions and Kelly Consulting.

Understanding why the accrual basis of accounting is required by generally accepted accounting principles (GAAP) is essential for your ability to analyze and evaluate financial statements.

Objective 6 - Explain why the accrual basis of accounting is required by GAAP.

To understand why the accrual basis of accounting is required, it is first necessary to consider the alternative. The primary alternative to GAAP is the **cash basis of accounting**, which records transactions only when cash is received or paid. For example, revenue is recorded when cash is received from a customer regardless of when the services or goods have been provided or delivered. Likewise, expenses are recorded when the cash is paid regardless of when the related revenues are recorded. In other words, revenues and expenses are reported on the income statement in the period in which cash is received or paid.

In contrast, the **accrual basis of accounting** uses the revenue and expense recognition principles to record revenues and expenses. Under the *revenue recognition principle*, revenues are recorded when earned, which is when the services have been performed or products have been delivered to customers. Under the *expense recognition principle*, the expenses incurred in generating revenue are recorded in the same period as the related revenue. To ensure that revenues and expenses are properly matched, adjusting entries are recorded at the end of the accounting period.

To illustrate, the November and December income statements for NetSolutions under the accrual and the cash bases are shown in [Exhibit 19](#).

Exhibit 19

Accrual- and Cash-Basis Income Statements for NetSolutions

Accrual Basis		Cash Basis	
NetSolutions Income Statement For the Month Ended November 30, 20Y3		NetSolutions Income Statement For the Month Ended November 30, 20Y3	
Fees earned.....	\$ 7,500	Fees earned.....	\$ 7,500
Expenses:		Expenses:	
Wages expense.....	\$2,125	Wages expense.....	\$2,125
Rent expense.....	800	Supplies expense.....	950
Supplies expense.....	800	Rent expense.....	800
Utilities expense.....	450	Utilities expense.....	450
Miscellaneous expense.....	275	Miscellaneous expense.....	275
Total expenses.....	(4,450)	Total expenses.....	(4,600)
Net income.....	<u>\$ 3,050</u>	Net income.....	<u>\$ 2,900</u>

NetSolutions Income Statement For the Month Ended December 31, 20Y3		NetSolutions Income Statement For the Month Ended December 31, 20Y3	
Fees earned.....	\$9,340	Fees earned.....	\$6,620
Rent revenue.....	120	Rent revenue.....	360
Total revenues.....	\$ 9,460	Total revenues.....	\$ 6,980
Expenses:		Expenses:	
Wages expense.....	\$2,400	Insurance expense.....	\$2,400
Supplies expense.....	1,240	Wages expense.....	2,150
Rent expense.....	800	Supplies expense.....	1,850
Utilities expense.....	535	Rent expense.....	800
Insurance expense.....	200	Utilities expense.....	535
Depreciation expense.....	50	Miscellaneous expense.....	180
Miscellaneous expense.....	180	Total expenses.....	(7,915)
Total expenses.....	(5,405)	Net loss.....	<u>\$ (935)</u>
Net income.....	<u>\$ 4,055</u>		

The November income statements are similar with net income of \$3,050 and \$2,900 for the accrual and cash bases, respectively. This similarity exists because NetSolutions had only one accrual accounting transaction in November, which was the November 10 purchase of supplies on account.

In December, NetSolutions had a variety of accrual transactions. As a result, the December accrual net income is \$4,055 compared to a net loss of \$(935) under the cash basis. Which of the two December income statements better reflects the operating performance of NetSolutions? To answer this question, the November and December operating results for NetSolutions are summarized in [Exhibit 20](#).

Exhibit 20

Accrual versus Cash Basis of Accounting for NetSolutions

	Accrual Basis of Accounting				Interpretation
	December	November	Increase (Decrease)		
			Amount	Percent	
Revenues	\$9,460	\$7,500	\$1,960	26.1%	NetSolutions is profitable and rapidly
Expenses	(5,405)	(4,450)	955	21.5%	

Expenses	<u>(5,405)</u>	<u>(4,450)</u>	955	21.5%	} expanding.
Net income (loss)	<u>\$4,055</u>	<u>\$3,050</u>	1,005	33.0%	

Cash Basis of Accounting					Interpretation
			Increase (Decrease)		
	December	November	Amount	Percent	
Revenues	\$6,980	\$7,500	\$(520)	(6.9)%	} NetSolutions is in trouble with declining revenues and increasing expenses, which generated a net loss. This suggests that NetSolutions may not be able to continue as a viable company without significant operational changes.
Expenses	<u>(7,915)</u>	<u>(4,600)</u>	3,315	72.1%	
Net income (loss)	<u>\$(935)</u>	<u>\$2,900</u>	(3,835)	(132.2)%	

Under the accrual basis of accounting, revenues increased by 26.1% in December, while expenses increased by only 21.5%. As a result, net income increased by 33.0%. These results suggest that NetSolutions is a profitable, rapidly expanding company.

Under the cash basis of accounting, revenues decreased by (6.9)%, while expenses increased by 72.1%. As a result, NetSolutions reported a net loss of \$(935) or a decrease of (132.2)% from November's net income of \$2,900. These results suggest that NetSolutions is in trouble and may not be able to continue as a viable company.

As shown in [Exhibit 20](#), accrual accounting better reports the underlying operating performance of NetSolutions. It does this by better matching revenues and expenses. This is why accrual accounting is required by generally accepted accounting principles (GAAP).

Analysis for Decision Making

Working Capital and Current Ratio

The ability to convert assets into cash is called

Objective 7 - Describe and illustrate the use of working capital and the current ratio in evaluating a company's financial condition.

liquidity ([A company's ability to convert assets into cash.](#)) , while the ability of a business to pay its debts is called **solvency** ([The ability of a firm to pay its debts as they come due.](#)) . Two financial measures for evaluating a business's short-term liquidity and solvency are *working capital* and the *current ratio*.

Working capital (The excess of the current assets of a business over its current liabilities.)

is the excess of the current assets of a business over its current liabilities:

$$\text{Working Capital} = \text{Current Assets} - \text{Current Liabilities}$$

Current assets are more liquid than long-term assets, because they can be more readily turned into cash to meet short-term obligations. Thus, an increase in a company's current assets increases or improves its liquidity because these assets are available for uses other than paying current liabilities.

A positive working capital implies that the business is able to pay its current liabilities and is solvent. Thus, an increase in working capital increases or improves a company's short-term solvency.

To illustrate, **NetSolutions'** working capital at the end of 20Y3 is \$6,355, computed as follows from [Exhibit 1](#):

$$\begin{aligned}\text{Working Capital} &= \text{Current Assets} - \text{Current Liabilities} \\ &= \$7,745 - \$1,390 \\ &= \$6,355\end{aligned}$$

This amount of working capital implies that NetSolutions is able to pay its current liabilities.

The

current ratio (A financial ratio that expresses the relationship between current assets and current liabilities, computed by dividing current assets by current liabilities.)

is another means of expressing the relationship between current assets and current liabilities. The current ratio is computed by dividing current assets by current liabilities:

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

To illustrate, the current ratio for NetSolutions on December 31, 20Y3 is 5.6, computed as follows:

$$\begin{aligned}\text{Current Ratio} &= \frac{\text{Current Assets}}{\text{Current Liabilities}} \\ &= \frac{\$7,745}{\$1,390} \\ &= 5.6 \text{ (Rounded)}\end{aligned}$$

The current ratio is more useful than working capital in making comparisons across companies or with industry averages.

Make a Decision

Working Capital and Current Ratio

Analyze and compare Amazon.com to Best Buy (MAD 4-1) (Continuing company analysis)

Analyze and compare Zynga, Electronic Arts, and Take-Two (MAD 4-2)

Analyze and compare Foot Locker and Dick's Sporting Goods (MAD 4-3)

Analyze Under Armour (MAD 4-4)

Analyze Caterpillar Inc. (MAD 4-5)

Analyze and compare Alphabet (Google) and Microsoft (MAD 4-6)